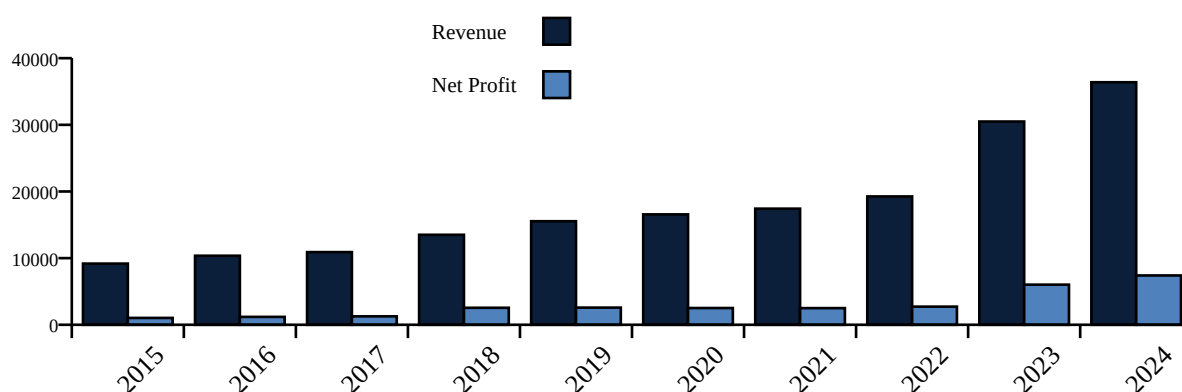


Shriram Finance Ltd

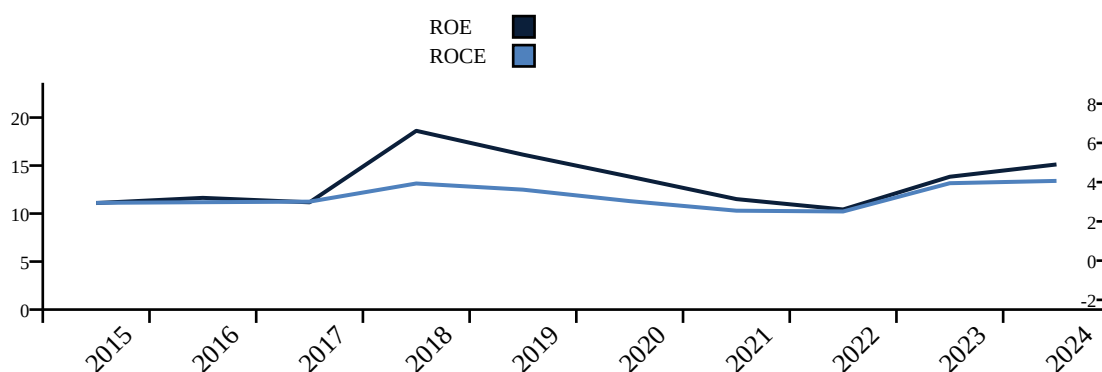
SHRIRAMFIN

ROE 15.1%	ROCE 4.1%	Net Margin 20.3%
Debt / Equity 4.0	Revenue CAGR 5Y 18.6%	Quality Score 39.5

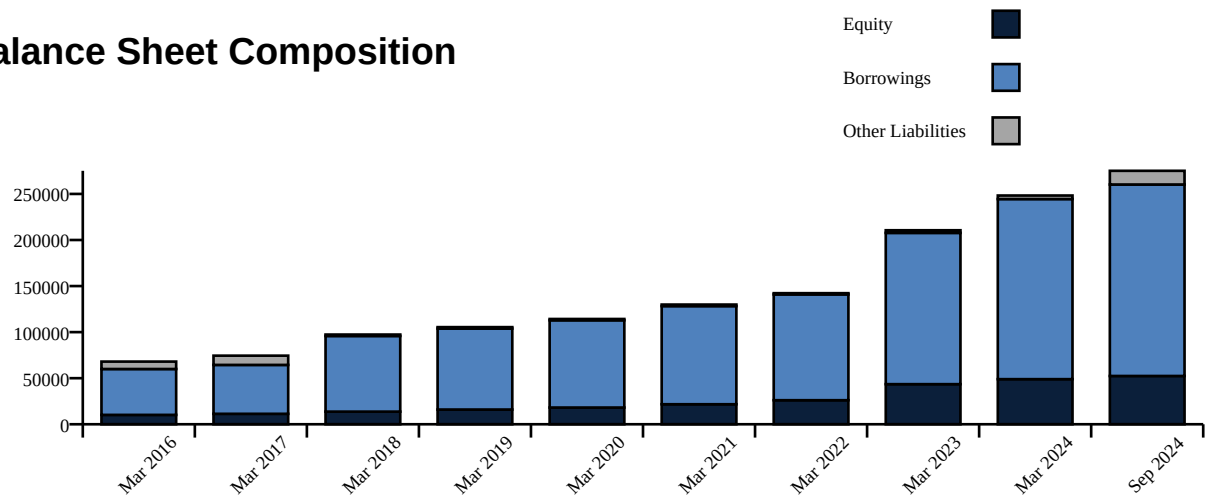
10-Year Revenue & Net Profit



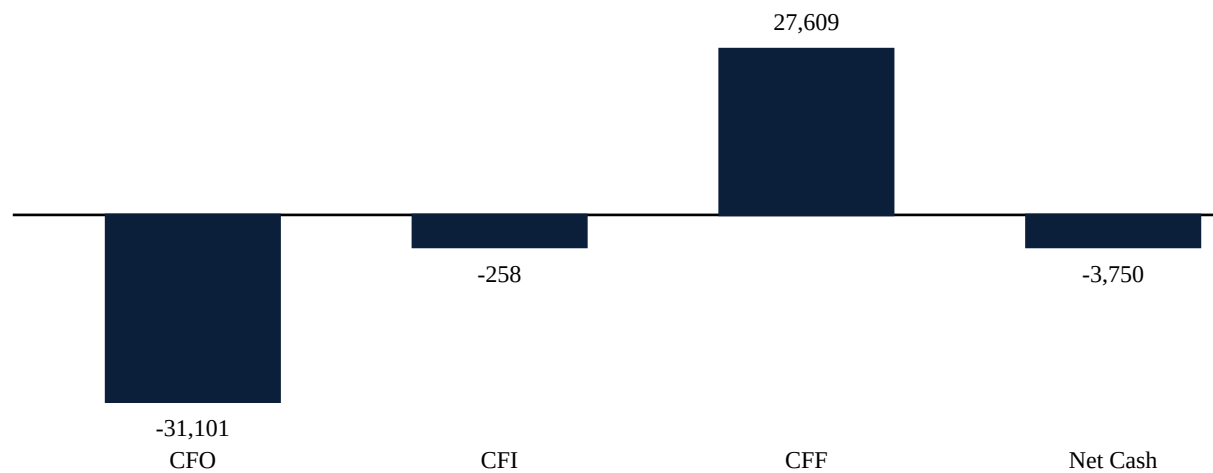
ROE & ROCE Trend



Balance Sheet Composition



Cash Flow Waterfall — Latest Year



Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt